



Future Insights: The FoodTech Report 2021

Beauhurst

HUCKLETREE

Contents and methodology

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Beauhurst identifies ambitious businesses using eight triggers (outlined at the bottom of this page) that suggest a company has high-growth potential. More detail on Beauhurst's tracking triggers is available [via its website](#).

EQUITY INVESTMENT

To be included in the analysis, any investment must be:

- Some form of equity investment
- Secured by a non-listed UK company
- Issued between 1 January 2011 and 31 December 2020

ANNOUNCED AND UNANNOUNCED FUNDRAISINGS

An unannounced fundraising is an investment made into a private company that is completed without press coverage or a statement from the recipient company or funds that made the investment. These transactions are an integral part of the UK's high-growth economy, accounting for around 70% of all equity transactions.

HIGH-GROWTH TRIGGERS



Equity investment



Academic spinouts



Scaleups



High-growth lists



Accelerator attendance



Major grant recipients



MBO/MBI



Venture debt



Foreword

Leo Medley, General Manager, Huckletree White City

We're excited to be working with Beauhurst to produce this series of industry reports, examining UK companies that will shape the future of how we consume retail, media and food. In the first of three reports, we focus on how we eat, what we eat and the UK FoodTech companies transforming the industry.

After a decade of rising social awareness, health initiatives and environmental activism, contemporary consumers want their food healthy, ethical and sustainably sourced.

From the rise of meat alternatives and groceries-on-demand to AI-powered AgriTech, the FoodTech sector's future is increasingly guided by consumer attitudes towards conscious consumption, climate, and convenience.

Not only are buyers more deliberate with their food purchases, but they are willing to pay more for the luxury of an on-demand lifestyle. This high-growth ecosystem has led to a surge in FoodTech startups, fuelled by record levels of equity investment, grants awarded and successful crowdfunding campaigns. This report equally highlights veganism and how a marginalised group has grown to over half a million people in the United Kingdom. The plant-based revolution has spawned over a hundred FoodTech companies in the UK since 2011, with

"The future of the FoodTech sector is increasingly guided by consumer attitudes towards conscious consumption, climate, and convenience."

"With the world's population predicted to hit nearly 10 billion by 2050, FoodTech innovation is becoming a moral necessity."

London becoming a key European hub for vegan startups.

With the world's population predicted to hit nearly 10 billion by 2050, FoodTech innovation is becoming a moral necessity. Significant developments in agriculture and the global supply chain are needed to fight world hunger. As such, we have also chosen to highlight key AgriTech companies using data to increase yields, encourage sustainability and fight the effects of climate change.

The rolling lockdowns of the ongoing COVID-19 pandemic supercharged the food delivery industry. Nimbler tech-powered startups are disrupting supermarkets and traditional retail. We take a look at some of the rising stars opening fulfilment hubs in London's fiercely competitive grocery and meal-kit delivery market.

Huckletree is built on the motto that "No Mind is an Island." We believe you can't change the world alone, which is why we're on a mission to help the

most innovative companies, from startup right the way through to MNE, take leaps and do braver work together. We're more committed than ever to creating the space and environment for teams to work, grow their ventures, collaborate together and pioneer whatever comes next.

Our Futures Hub in Huckletree White City is home to some of the UK's leading FoodTech companies. The campus, located within the iconic White City Place development, is part of a bold new chapter in the rich creative history of a neighbourhood that sits at the centre of West London – an area already brimming with high-growth FoodTech companies. It is a dedicated haven for startups and global brands paving our future way of life – how we sleep, think, move, and, of course, eat.

We hope this report is both engaging and informative, and we're very pleased that it's landed in your hands.

Summary of the FoodTech sector

FoodTech is a growing sector where technology is being used to level up the food industry, making the production and consumption of food more efficient and sustainable.

The UK's high-growth ecosystem has seen 863 innovative FoodTech companies launched since 2011. Of these, 650 are still active fast-growing businesses, 67 have exited and the remaining 146 have ceased operations. FoodTech companies sit at the intersection of technology sectors, such as mobile apps, internet platforms or clean energy, and food-related sectors. These include food and drink processing, agriculture and farming, restaurants and cafes, other food outlets, catering, and waste management services.

Over the 10 years between 2011 and 2020, these businesses have raised an enormous £2.6b in equity investment across 1,202 rounds and received £97.6m via 461 grants. The convergence of food and technology is an exciting area for investors and for the innovators seeking to disrupt the food industry at all stages of the value chain.

650

active high-growth FoodTech companies

863

lifetime total FoodTech companies (active, exited or dead)

1,202

rounds of equity investment
2011-2020

461

number of grants
2011-2020

260

accelerator attendances
2011-2020

£2.6b

total equity investment raised
2011-2020

£97.6m

total grants received
2011-2020

34

academic spinouts

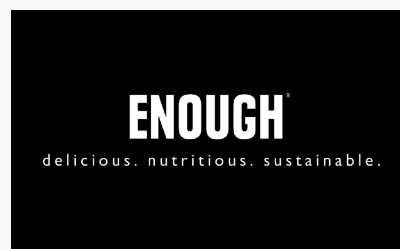
FoodTech companies

Although the high-growth FoodTech ecosystem in the UK is still emerging, the industry has already seen the rise of some hugely successful companies. Household name food delivery services Just Eat and Deliveroo are just two of the industry's giants; Just Eat exited via IPO in 2014, while Deliveroo did so in 2021.

The industry is also contributing to the wars against climate change and resource wastage, with many companies creating innovative ways to access food or inventing new and more sustainable production methods. Notable subscription-based businesses include Gousto, which achieved unicorn status in 2020 by offering a recipe box service, as well as D2C business Butternut Box that delivers cooked meals for dogs. In August, Butternut Box

announced it had raised a new £40m round.

Map of Ag and Hummingbird Technology offer software and analytics technology for agriculture. Other companies want to revolutionise the food we eat, such as ENOUGH which produces mycoprotein as a sustainable alternative to meat, or Tropic Biosciences and which is developing new crops that are resistant to disease.



SPOTLIGHT: Karma Kitchen

Karma Kitchen

London

Activity

Commercial kitchen rental platform

Incorporation date

March 2017

Total funding raised

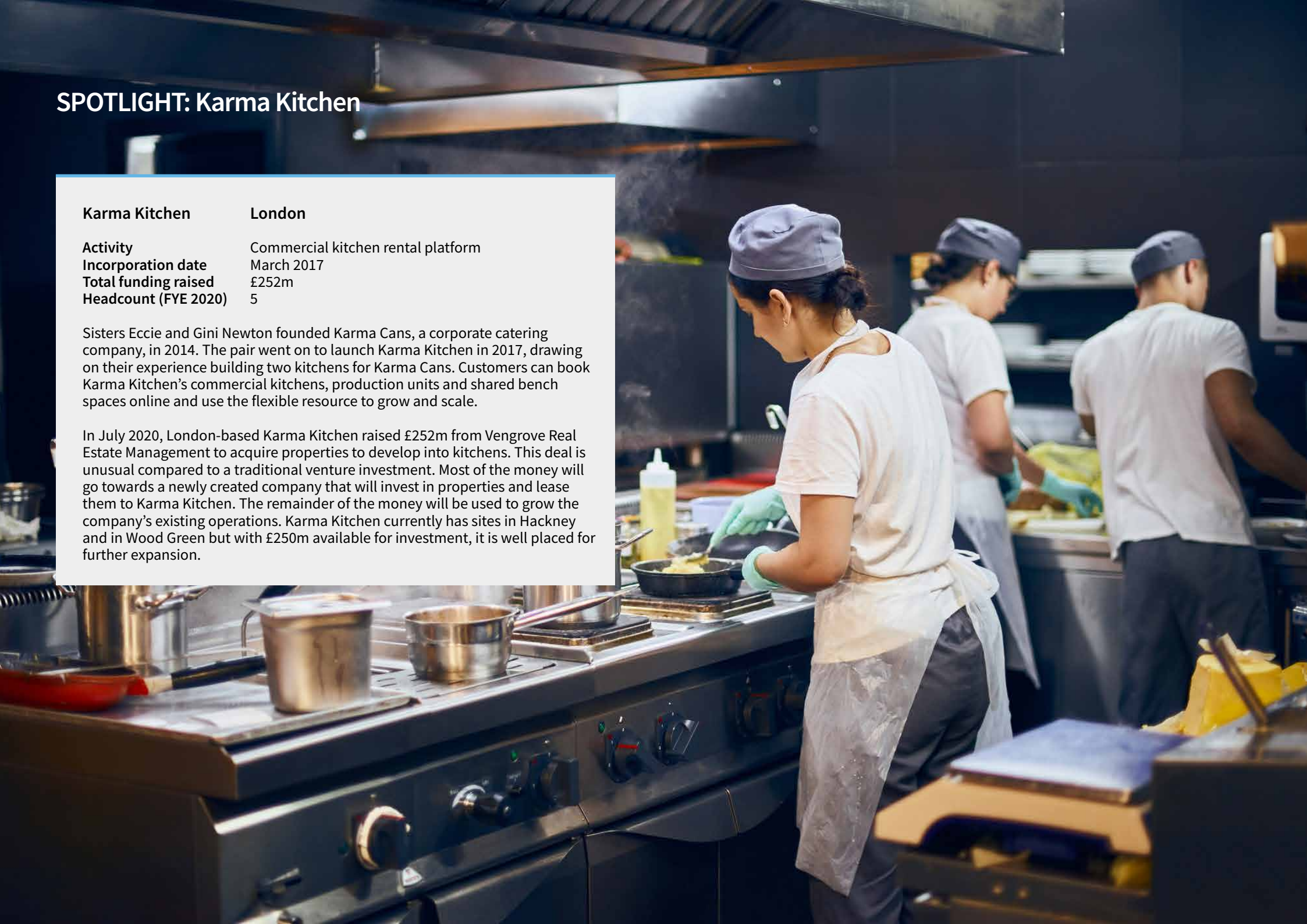
£252m

Headcount (FYE 2020)

5

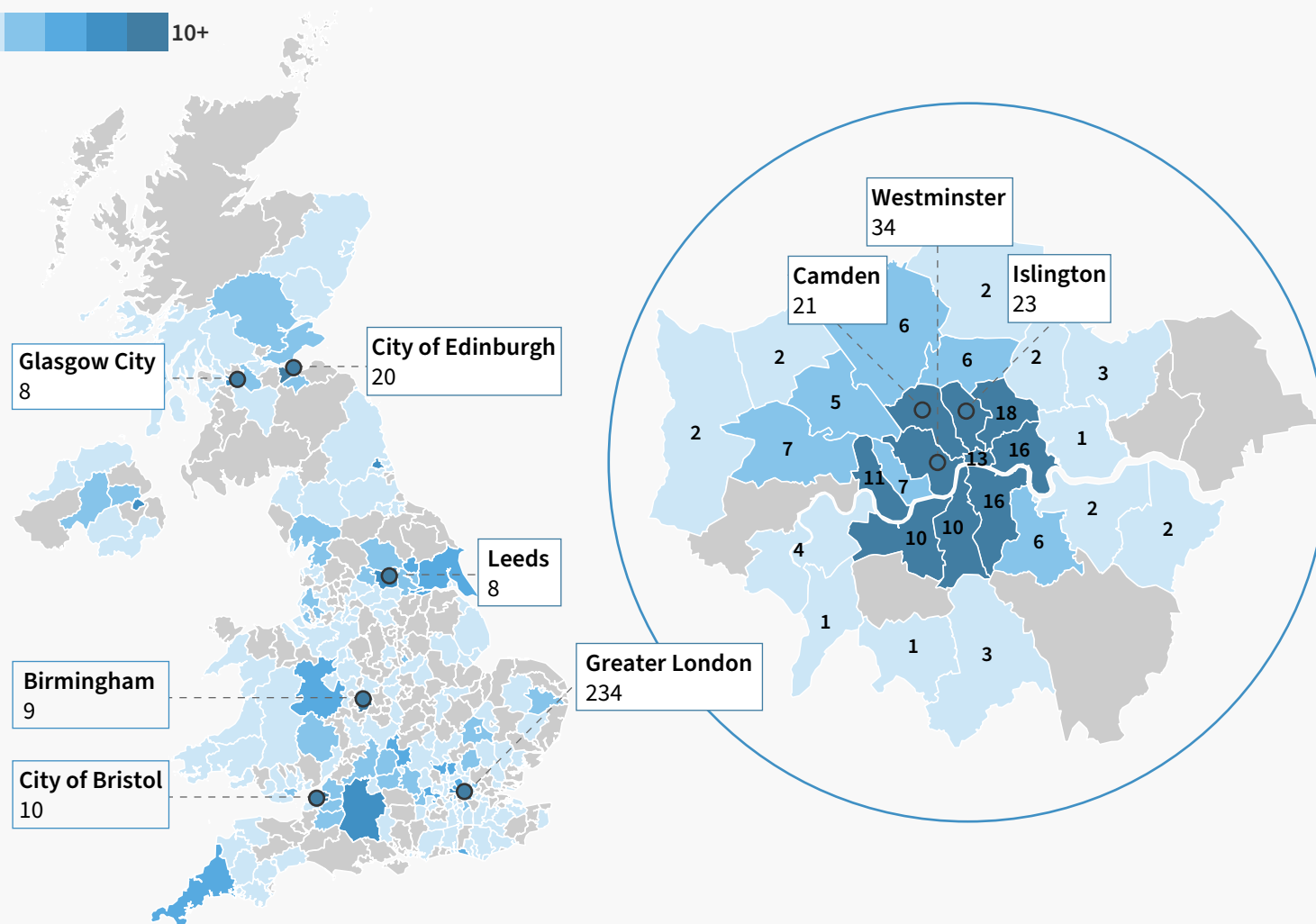
Sisters Eccie and Gini Newton founded Karma Cans, a corporate catering company, in 2014. The pair went on to launch Karma Kitchen in 2017, drawing on their experience building two kitchens for Karma Cans. Customers can book Karma Kitchen's commercial kitchens, production units and shared bench spaces online and use the flexible resource to grow and scale.

In July 2020, London-based Karma Kitchen raised £252m from Vengrove Real Estate Management to acquire properties to develop into kitchens. This deal is unusual compared to a traditional venture investment. Most of the money will go towards a newly created company that will invest in properties and lease them to Karma Kitchen. The remainder of the money will be used to grow the company's existing operations. Karma Kitchen currently has sites in Hackney and in Wood Green but with £250m available for investment, it is well placed for further expansion.



The local authority outside London with the most high-growth FoodTech companies is Edinburgh, where 20 are currently headquartered. One such business is Qikserve, offering convenience in orders and payment for restaurant patrons through a self-service app, which has raised £11.8m of investment.

1  10+



SPOTLIGHT: Hummingbird Technologies

Hummingbird Technologies

London

Activity	Imagery-based agricultural analytics
Incorporation date	June 2015
Total funding raised	£14m
Headcount (FYE 2019)	62

Hummingbird Technologies uses satellite imagery and machine learning to provide analytics to farmers and agri-businesses, allowing them to make better decisions based on data. The technology can help identify disease and weeds as well as assisting with yield predictions and sustainable farming practices.

Former investment banker and investor Will Wells started the business in 2015 and has grown it to a headcount of over 60 serving more than 100 enterprise customers. The London-based company has secured £14m in equity investment via five rounds from investors including Newable Ventures, Horizons Ventures and the European Space Agency. It has also received five grants from Innovate UK and prevented the equivalent of more than 45k tonnes of carbon dioxide from entering the atmosphere.



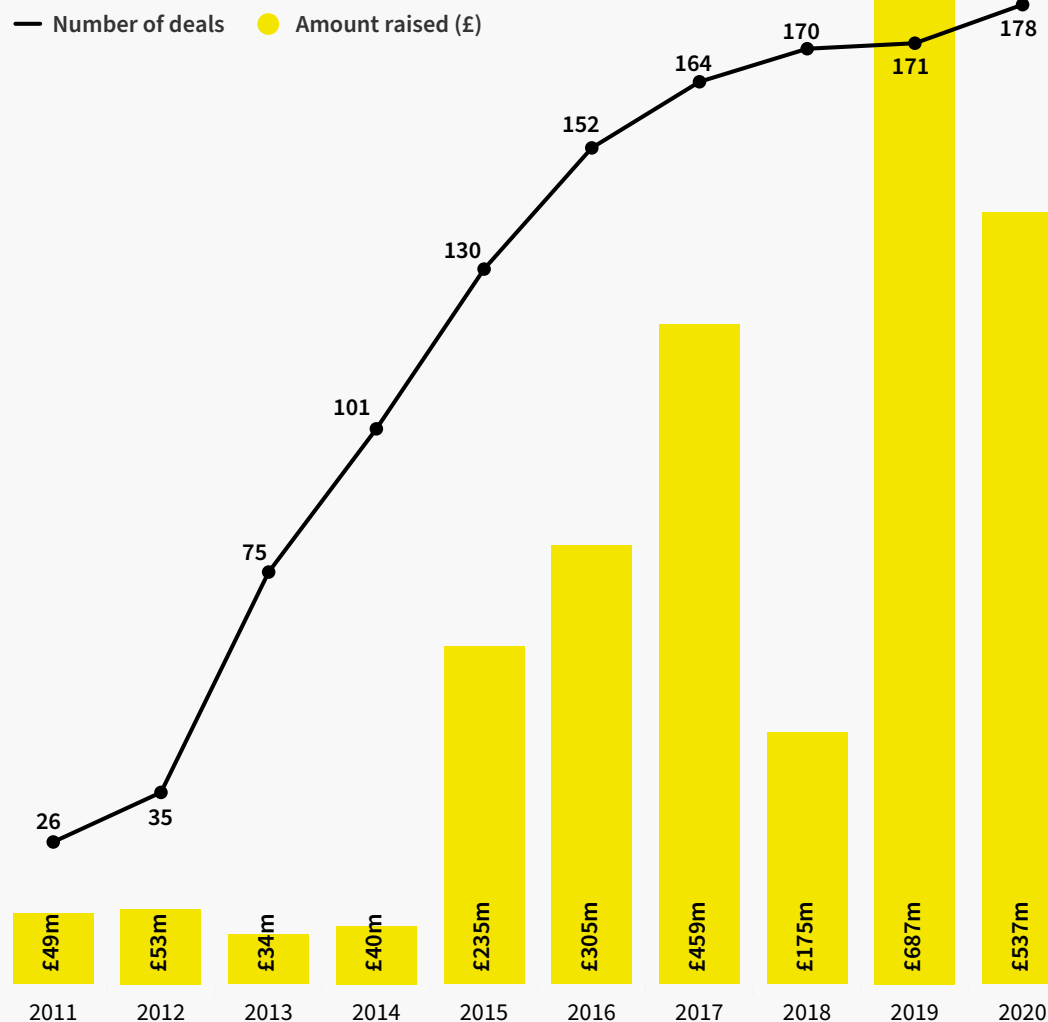
Investment trends

The annual number of equity investments into UK FoodTech companies has climbed steadily since 2011. The decade saw a total of 1,202 deals worth £2.6b. The top year for investment by value was 2019 which saw an enormous £687m worth of fundraising.

The company that secured the most equity investment between 2011 and 2020 by far was Deliveroo, raising £1.1b in this period and then a further £132m in January 2021. The unicorn food delivery company then underwent an IPO in March. The next five companies that raised the most between 2011 and 2020—Karma Kitchen, Gousto, HungryPanda, Just Eat and Rekki—secured a total of £602m between them.

For 526 of the deals made over the decade, it was the first time the company making the deal secured equity fundraising. With this number being almost half the total of the 1,202 deals, the FoodTech business ecosystem is clearly in its early stages. As more investors pay attention to the intersection of food and technology, the number of deals will likely continue to rise, particularly as investors follow their earlier investments.

Equity investment into UK FoodTech companies (2011–2020)



1,202

rounds of equity investment
2011–2020

£2.6b

total equity investment raised
2011–2020

SPOTLIGHT: Gousto

Gousto

London

Activity

Meal kit subscription service

Incorporation date

April 2012

Total funding raised

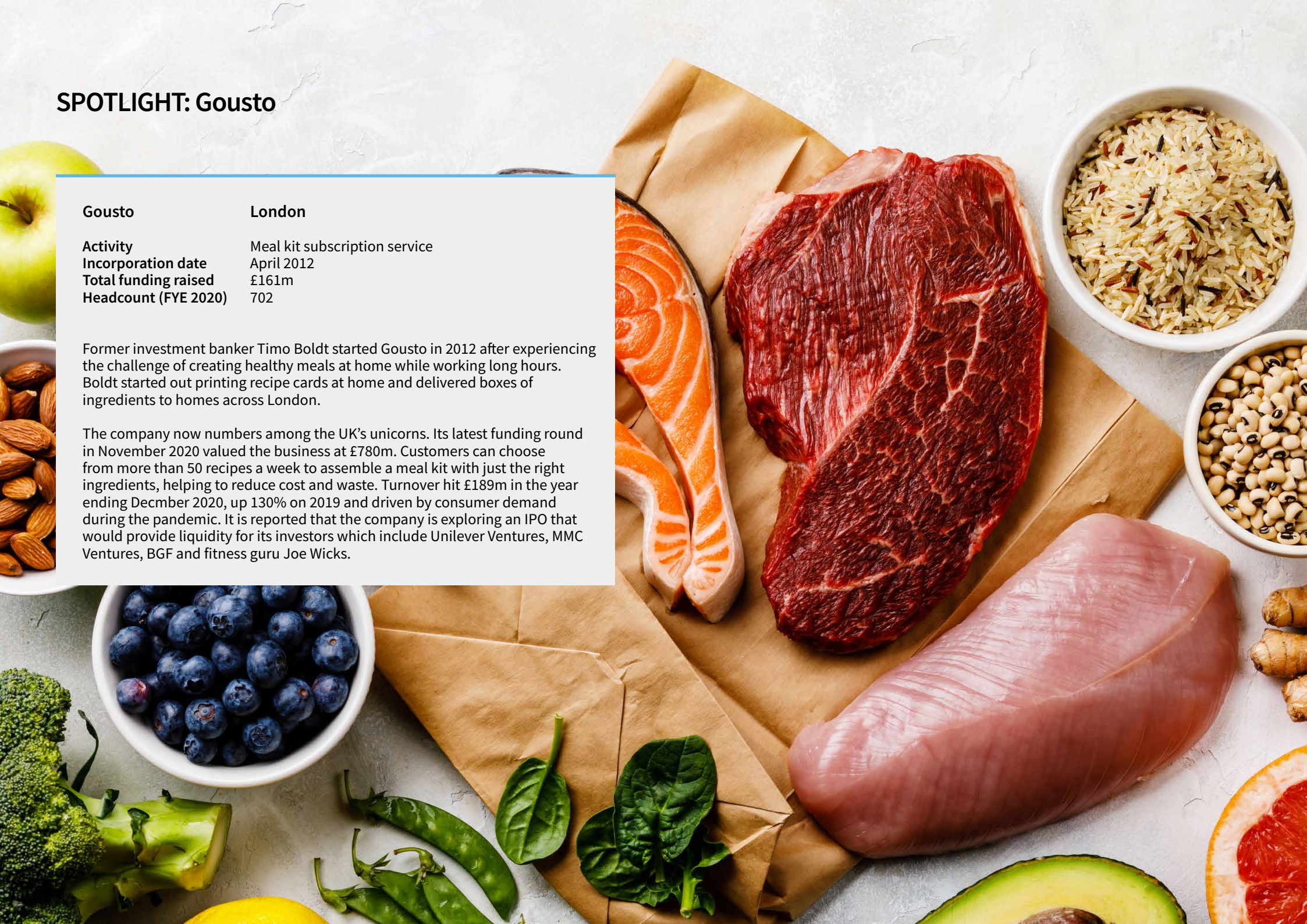
£161m

Headcount (FYE 2020)

702

Former investment banker Timo Boldt started Gousto in 2012 after experiencing the challenge of creating healthy meals at home while working long hours. Boldt started out printing recipe cards at home and delivered boxes of ingredients to homes across London.

The company now numbers among the UK's unicorns. Its latest funding round in November 2020 valued the business at £780m. Customers can choose from more than 50 recipes a week to assemble a meal kit with just the right ingredients, helping to reduce cost and waste. Turnover hit £189m in the year ending December 2020, up 130% on 2019 and driven by consumer demand during the pandemic. It is reported that the company is exploring an IPO that would provide liquidity for its investors which include Unilever Ventures, MMC Ventures, BGF and fitness guru Joe Wicks.



Top investors

The most popular way to raise equity investment among FoodTech companies over the last decade has been crowdfunding, with Seedrs and Crowdcube topping the ranking by number of deals. Crowdfunding platforms are an alternative means of financing, operating mostly online, and allow many investors to contribute funds. AgriTech company Hectare has secured seven funding rounds since 2015,

with Seedrs either a participating or the sole investment source in every one.

Funds managed by Scottish Enterprise were involved in 39 fundraising rounds between 2011 and 2020 worth £32.4m, supporting Scottish FoodTech businesses such as ENOUGH, Snappy Shopper, Qikserve, Insignia Technologies and Flavourly. Though yet to

reach the scale of London, Scotland is also a key region for the rising FoodTech ecosystem.

The top four investors by value of the deals are all US-based funds. Each have invested in London-headquartered Deliveroo, which has raised £1.3b of equity funding and listed on the LSE in March 2021.

Top investors ranked by number of rounds of equity investment into UK FoodTech companies (2011–2020)

Seedrs	52
Crowdcube	47
Scottish Enterprise	39
Equity Gap	20
MMC Ventures	9
Kelvin Capital	8
Highland Venture Capital	8
Entrepreneur First	8
Angel CoFund	8
The University of Strathclyde	7
Par Equity	7
Index Ventures	7
Accel	7
SyndicateRoom	6
Maven Capital Partners	6
Future Fund	6

Top investors ranked by total value of equity investment into UK FoodTech companies (2011–2020)

T. Rowe Price	£808m
Greenoaks Capital Management	£771m
Fidelity Management & Research Company	£523m
Amazon	£449m
Digital Sky Technologies (DST Global)	£351m
Eight Roads Ventures	£285m
General Catalyst Partners	£285m
Index Ventures	£274m
Vengrove Real Estate Management	£252m
Bridgepoint Development Capital	£210m
Accel	£209m
MMC Ventures	£109m
BGF Ventures	£96m
Perwyn	£88m
Hummingbird Ventures	£83m

Where funds co-invested with other funds, the total value of the equity deal is counted rather than the individual contribution of the fund, as this information is largely undisclosed.

SPOTLIGHT: Cervest

Cervest

London

Activity

Climate analytics provider

Incorporation date

December 2015

Total funding raised

£25.7m

Headcount (FYE 2019)

19

This climate intelligence B Corporation was founded in 2015 by former agribusiness operator Iggy Bassi after he witnessed the devastation wrought on harvests by adverse weather events. Bassi worked with Imperial College London and the Alan Turing Institute to use machine learning to generate insights from climate data.

Cervest's software now helps infrastructure operators, manufacturing companies, and governments to manage the asset and operational risk presented by flooding, fire, freezing and stormy conditions. It has raised £25.7m in equity investment, including a \$30m round in May 2021 that included participation from Astanor Ventures, Untitled, and Time Ventures, which is the venture fund of Salesforce founder Marc Benioff.



Emerging sectors and trends

FoodTech companies operating in precision agriculture are the largest emerging sector group. Companies in this area are applying the latest advances in technology such as remote sensing and machine learning to tackle agricultural challenges. Hummingbird Technologies (page 6) is a company operating in this area, which uses Artificial Intelligence,

which is the third ranked rising sector.

The second most populous group is services-on-demand, including the likes of Gousto (page 8) and Karma Kitchen (page 4). These companies are bringing an innovative approach to traditional consumer engagements with food and helping to reduce

waste by allocating resources more efficiently. High-growth services-on-demand FoodTech companies, whether still active, exited or having since ceased operations, raised around £1.5b between 2011 and 2020.

Emerging sectors ranked by number of active high-growth UK FoodTech companies (2021)

Precision agriculture	35
Services-on-demand	26
Artificial Intelligence	23
Urban farming	13
Robotics	11
Biomass and biofuels	10
Pop-ups	9
Internet of Things	9
Drones	8
FinTech	6
Big data	6
Sharing economy	4
M-commerce	3
Blockchain	3

Sustainability and FoodTech companies

The EAT-Lancet Commission on Food, Planet and Health highlights an agricultural, social and technological challenge facing the world; feeding a global population of 10b people by 2050 in a sustainable manner. All FoodTech companies are helping to tackle these challenges by finding more efficient methods of growing food, ensuring traceability of food, reducing food waste and finding more and better ways to recycle food.

Many FoodTech companies are mission-driven and are harnessing business as a force for good. A number of the companies captured in the data that underlies this report are Certified B Corporations. This is a private certification for for-profit companies which is granted only to “businesses that meet the highest standards of verified social and environmental performance, public transparency and legal accountability”. Climate analytics provider Cervest which is profiled on page 10 is a Certified B Corporation.

While the challenge of feeding 10b people within the next 30 years in a sustainable manner is a large one, it is positive that the UK has so many high-growth FoodTech companies that are contributing to a global effort to embrace more sustainable food practices.

Spotlight industry: the rise of veganism

The vegan population in Britain quadrupled from 150,000 in 2014 to 600,000 in 2019 according to research conducted by Ipsos Mori in 2019 for the Vegan Society. With concerns over health and diet, the environment, and animal welfare continuing to influence consumers, the FoodTech ecosystem has seen a rise in companies catering to a plant-based market.

Findings from Ipsos Global Advisor in 2019 also revealed that half of people in Britain say they would eat a plant-based substitute for meat, which is higher than the global average of four in 10. This suggests that this area is not just made up of those who are fully vegan, but consumers who want to simply reduce their intake of animal products.

Startups have a lot to offer this high-potential market, including high-protein sustainable meat alternatives, vegan snacks and drinks, plant-based pet food, as well as meat and dairy-free ready meals and recipe kits on subscription. Investors are paying attention to these companies; £64m was raised by the UK's vegan FoodTech companies in equity funding in 2020 via 51 deals. More than £90m has already been secured in 2021 so far, meaning this year is set to be a record high for the total amount of investment.

125

active high-growth vegan FoodTech companies

£63.9m

value of equity investment
in 2020

51

number of equity deals
in 2020



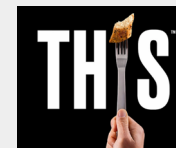
simple
feast

The international vegan FoodTech ecosystem

Vegan FoodTech companies are of course not only exploding in the UK, but around the world too. Oatly, a Swedish oat milk producer, is a major success story of the plant-based industry. The unicorn company raised \$200m in 2020 from investor Blackstone Group as well as billionaires including Oprah Winfrey, Jay-Z and former Starbucks CEO and Chairman Howard Schultz.

Danish firm Simple Feast provides vegan meal kits with a focus on sustainability. The B Corp secured funding of \$33m in 2019 and recently entered the US market.

allplants



Huel®

The UK's vegan FoodTech ecosystem

London is certainly one of Europe's hubs for fast-growing vegan FoodTech startups. Incorporated in 2016, allplants is a subscription service for vegan meals that has raised over £16m over five rounds of equity and loan fundraising.

Meanwhile, producer of meat-alternative foods THIS has secured £20.5m in equity, most recently an £11m round in June 2021 for R&D. Investors included BGF Growth Capital, Backed VC and Five Season Ventures.

After attending the EIT Food Accelerator in 2019, Battersea-based Better Nature has raised £2.4m across three rounds over 2020 and 2021. The startup uses fermented tempeh in its products to encourage meat-free eating.

Outside of London, Huel makes meal replacement powder from sustainable plant-based ingredients which offers all required nutrients. The Hertfordshire-located FoodTech startup has received £21m in equity investment and appeared on high-growth lists such as the Fast Track 100.

Spotlight industry: on-demand grocery companies in London

A number of similar businesses are currently battling to win London's express grocery delivery market, which has gained huge momentum since the pandemic and subsequent rise in consumer desire for rapid food delivery services. These companies offer a solution to frustration with deliveries from the UK's major supermarkets, where slots need to be booked with advance notice, via

the promise of rapid and convenient on-demand order and delivery. Eight London-based startups are profiled on this page, with most currently expanding their presence in the capital, while also hoping to extend to the rest of the country in the future. Elsewhere in the UK, DeliverMe from Birmingham and Cheshire-headquartered Beelivery are also quickly growing.

Competition is strong not only between each other, but from overseas competitors; German-based Gorillas and Turkish-founded Getir are already operating in London. US unicorn Gopuff is looking to accelerate expansion into the UK and the rest of Europe, while German company Flink has already arrived in the Netherlands and France and could have plans for the UK going forward.



Incorporation date November 2020
Total funding raised \$100m (£73m)

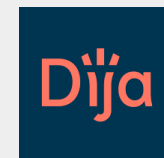
Zapp has raised the most equity investment of London's on-demand grocery companies at \$100m (£73m); this took place across two rounds in November 2020 and March 2021 from VC firm Atomico among other investors. Stocking over 1,000 grocery items including drinks and snacks, Zapp operates a "dark store" model and promises 24/7 ordering with delivery in 20 minutes or less.

weezy

Incorporation date September 2019
Total funding raised £15.7m

Weezy allows customers to choose from over 2,000 products — including luxury items from independent brands — which it aims to deliver in 15 minutes. In January this year, it raised £14.7m to add 50 more employees to its London-based team and to support its expansion to 40 fulfilment centres by the end of the year. Its investors include DN Capital, Heartlane, and Left Lane Capital.

Grocemania



Zapp and Weezy are not the only developing on-demand grocery delivery services. Grocemania, also in the seed-stage, was launched in 2016 and has secured £330k of equity investment through crowdfunding platform Seedrs. Meanwhile, Jiffy has raised a total of £2.6m; it launched during the pandemic and is planning fulfilment hubs across London. Devo was established in 2016 and secured £70k in January 2020. Dija incorporated in November 2020 using a "dark store" model to meet pandemic delivery demand, then raised equity of £15m in December. In August 2021, Dija was acquired by US delivery unicorn Gopuff, supporting its European expansion plans.

Sustainability is a key focus for many on-demand delivery startups. Bother, offering AI-based software for users to order household essentials with the aim of reducing waste, has secured £4.9m of investment. Using zero emission electric bikes to deliver for supermarkets, e-cargobikes.com has taken three equity rounds worth £808k, and has previously worked with Sainsbury's and Co-op.



International competitors

On-demand grocery delivery companies in London are facing fierce competition from the 2021 arrival of two major overseas firms. Both hold unicorn status, with Berlin-founded Gorillas reaching the valuation in just nine months, making it one of the fastest-ever unicorns in Europe. Getir launched in Istanbul in 2015 and operates in much of Turkey, and since raised an enormous volume of equity. With both promising delivery in just 10 minutes, the race to secure the London market is on.

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Beauhurst is a searchable database of the UK's high-growth companies.

Our platform is trusted by thousands of business professionals to help them find, research and monitor the most ambitious businesses in Britain. We collect data on every company that meets our unique criteria of high-growth; from equity-backed startups to accelerator attendees, academic spinouts and fast-growing scaleups.

Our data is also used by journalists and researchers who seek to understand the high-growth economy, and powering studies by major organisations – including the British Business Bank, HM Treasury and Innovate UK – to help them develop effective policy.

For more information and a free demonstration, visit beauhurst.com

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Huckletree is a coworking community of 3,000+ members across 300+ companies.

Our workspaces, across the UK and Ireland, are designed for the new world of work. Creative and modern, we curate each space around a sector or industry so that members work alongside the brightest talent, connect with the right businesses and collaborate with curious minds relevant to them.

For more information, visit our website: huckletree.com

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